

PROJECT DOCUMENT

Mitsue Project

Paper Summary & Project Application



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Paper Summary & Project Application

"The forest our ancestors planted — powering the village they built." 先人が植えた森が、今、村に豊かさをもたらす。

"Promoting Local Revitalization to Solve Issues on Degraded Forests in Japan"

Ooba, Nakamura & Togawa — National Institute for Environmental Studies, Fukushima Branch (2020)

1. Paper Summary

What the Paper Is About

This academic study examines how a small depopulated mountain town in Fukushima Prefecture — **Mishima Town, Oku-Aizu** — addressed two linked crises: degraded, unmanaged forests and reliance on external fossil energy. The researchers (NIES) partnered with the town to design and pilot a **small-scale woody biomass combined heat and power (CHP) system** driven entirely by local forest resources.

The Core Problem

Japanese rural forests have been degrading for decades due to:

- Depopulation and aging (Mishima: population <1,600; 53% elderly)
- Low domestic timber prices since the 1970s — imports undercut local wood
- Only ~45% of plantation forests actively managed
- Unclear and fragmented forest ownership boundaries
- Lack of workers for thinning and harvesting

After Japan's 2011 nuclear disaster, the Feed-in Tariff (FIT) system renewed interest in woody biomass power — but large-scale plants (requiring tens of thousands of tons/year) are not viable for small rural communities. The paper argues for a different, community-scaled approach.

Two Key Constraints Identified

The researchers derived two critical planning constraints that apply to any small rural biomass project:

Constraint	Details
[1] Circulation radius	Raw biomass transport: max 50–125 km; heat via pipes : only a few hundred meters; local power lines: a few km
[2] Feasible facility size	Mishima's potential supply was ~4,000 tons/year — enough for a small CHP (≤50 kW), not a large plant

Four Research Activities and Findings

Research Activity	Key Finding
Forest resource survey (drone + LiDAR)	Clarified ownership boundaries and timber volumes; revealed most forests unknown/unmapped

Research Activity	Key Finding
Biomass production potential	Chip production viable at $\leq$ ¥7,000/m ³ with intensive thinning; ~10,000 m ³ /year potentially harvestable
Energy demand survey (HEMS installed)	Small CHP consuming ~700–800 tons/year of biomass is feasible for community + hot spring facilities
Social system and governance	A community council dividing supply and consumption tasks was the recommended structure

Social Implementation Steps Taken

- **Tree Station programme** — residents bring firewood logs, receive ¥4,500/m³ in local gift certificates
- **Wood-fired boiler** installed at Mishima Local Crafts Museum using locally collected firewood
- **Oku Aizu Five Towns Council** established under Ministry of Environment subsidy
- Regular joint meetings between NIES researchers and town officials, at least monthly

Conclusion

The project aligns with Japan's **Regional Circular and Ecological Spheres (CES)** framework and the SDGs. A small-scale biomass CHP, even at community level, can:

- Revive forest management and increase carbon absorption
- Reduce external energy dependence
- Create stable local employment
- Reduce landslide/flood risk through proper forest management
- Act as the seed of a wider rural revitalization model (comparable to Germany's Stadtwerke system)

2. What Is Important for the Mitsue Project

Mitsue Village and Mishima Town are **strikingly parallel** in their conditions:

Factor	Mishima Town	Mitsue Village
Forest cover	88%	~88%
Population trend	Depopulation, aging	Depopulation, aging
Forest type	Sugi (cedar) monoculture	Sugi (cedar) monoculture
Forest management	~45% managed	Low management rate
Energy dependency	External fossil fuels	External fossil fuels
Location	Rural mountain, Fukushima	Rural mountain, Nara
Ownership clarity	Fragmented, unclear	Fragmented, unclear

This makes the Mishima study one of the **most directly applicable precedents** available for the Mitsue project.

2A. Critical Data Points for Mitsue's Feasibility Studies

These numbers from the paper can be used as **planning benchmarks** for Mitsue's Phase 1 Feasibility Studies:

Data Point	Value	How to Use
Biomass consumption for small CHP	700–800 tons/year	Baseline input for Mitsue's Energy Systems Feasibility Study

Data Point	Value	How to Use
Chip production target price	≤¥7,000/m ³	Cost threshold for Mitsue's Forestry Feasibility Study
Max harvestable volume (Mishima)	~10,000 m ³ /year	Scale reference; Mitsue feasibility study must determine its own figure
Recommended CHP size	≤50 kW electricity output	Sizing target for Phase 3 pilot CHP unit
Forest management rate (unmanaged Japan)	~45%	Baseline to justify the forest intervention component
Raw biomass transport limit	50–125 km	Confirms local sourcing from Mitsue's own forests is valid
Heat pipe supply range	few hundred meters	Confirms Koryukan building must be close to CHP unit
FIT scenario biomass consumption	~800 tons/year profitable	Confirms Phase 3 pilot can be structured to use FIT revenue

2B. Forest Ownership Problem — Directly Applicable

The Mishima questionnaire revealed that forest owners' top barriers were:

1. **Low timber prices** (56 responses)
2. **Lack of manpower**
3. **Undeveloped forest roads**
4. **Unclear boundaries** (80 responses combined with road needs)

Mitsue almost certainly shares these exact barriers. The **drone + LiDAR forest survey** used in Mishima is a practical tool Mitsue can replicate in Phase 1 or 2 to:

- Map actual forest boundaries
- Estimate timber volumes per owner
- Build trust with landowners by showing them their own data
- Lay the groundwork for landowner partnership contracts

2C. Governance Model — Proven Structure

The Mishima council structure (supply working group + consumption working group under a coordination council) is a **tested model** for the Mitsue project's stakeholder organization. It:

- Prevents confusion between forestry/supply decisions and energy/demand decisions
- Includes both local and external stakeholders
- Was established with Ministry of Environment subsidy — a funding route Mitsue can pursue

2D. FIT System Caution

The paper explicitly warns that FIT high purchase prices are **not guaranteed long-term**. After 2017, large solar was excluded; the trend is toward wholesale markets. For Mitsue:

- **Do not design the project's financial model to depend entirely on FIT**
- Use FIT revenue in early phases (Phase 3) to prove viability
- Build toward self-sufficient energy pricing for the data center and EV charging as primary revenue

2E. Social Legitimacy — Start Small and Visible

Mishima's first steps were deliberately small (firewood exchange, museum boiler). This built:

- Visible proof that the idea works
- Trust with residents skeptical of top-down projects
- A supply chain prototype before large investment

For Mitsue, this validates the **Phase 0 and Phase 1 "trust-first" approach** in the implementation plan. A small, visible early win (e.g., a wood-fired heater in a community building) can do more for local trust than any presentation.

3. How to Use This for the Project to Succeed

Phase 0–1 Actions (Months 1–9)

Action	How the Paper Supports It
Private conversations with village leadership	Paper shows Mishima signed a formal MOU with NIES — start informally, formalize later
Commission Forestry Feasibility Study	Use Mishima's ≤¥7,000/m ³ chip cost and 10,000 m ³ /year harvest target as benchmarks to validate or refine
Commission Energy Systems Feasibility Study	Use 700–800 tons/year biomass and ≤50 kW CHP as starting sizing assumptions
Approach landowners	Use the questionnaire findings to anticipate objections : timber price, labor, roads, boundaries
Propose drone + LiDAR forest survey	Frame it as a gift to landowners — clarifying their own assets — not a government-style intrusion

Phase 1–2 Actions (Months 4–18)

Action	How the Paper Supports It
Set up community council structure	Model on Mishima's supply/consumption working group structure; apply for Ministry of Environment subsidy
Apply for Fukushima-style smart community subsidies	Nara Prefecture equivalents exist; Mishima used these for pre-feasibility studies
Publish bilingual forest/energy vision	Paper demonstrates academic credibility helps unlock institutional partnerships (NIES + university collaborations)
Design landowner revenue sharing	Mishima's gift certificate model (¥4,500/m ³) is a prototype — Mitsue can develop cash or service-equivalent returns

Phase 3 Pilot (Months 19–30)

Action	How the Paper Supports It
Install small CHP ≤50 kW	Directly validated by Mishima's feasibility findings

Action	How the Paper Supports It
Source biomass locally within circulation radius	Raw biomass transport limit of 50–125 km confirmed; Mitsue's own forests are within this
Install HEMS in pilot buildings	Mishima used this to map real energy demand before finalizing system design — do this before finalizing data center load specs
Use FIT registration for electricity	Mishima's profitable scenario relied on FIT — register early before eligibility rules tighten further

Long-Term (Phase 4+)

Action	How the Paper Supports It
Target Regional CES certification	Japan's Fifth Basic Environmental Plan explicitly supports regional CES projects — Mitsue fits the definition perfectly
Link to SDG reporting	Paper shows biomass + forest management directly satisfies SDGs 7, 13, 15 — useful for international investors and grant funders
Scale CHP only after supply chain is proven	Paper's central warning: demand always exceeds local supply if uncontrolled; keep harvesting sustainable
Develop climate hazard maps	Mishima researchers noted forest management reduces flood/landslide risk — Mitsue can use this for disaster-resilience branding

4. Summary — Most Important Takeaways

- 700–800 tons/year biomass for ≤50 kW CHP** is the right pilot size for Mitsue — validated by real data from a comparable village.
- Drone + LiDAR forest survey first** — you cannot plan supply without knowing what you actually have.
- Circulation radius is real** — design the system so biomass stays local and heat consumers are within a few hundred meters of the CHP.
- FIT is a tool, not a strategy** — use it in Phase 3 but build the long-term model on data center, EV charging, and heat sales revenues.
- Start small and visible** — a wood-fired boiler in a community building costs almost nothing and builds trust that no presentation can buy.
- Govern with a council structure** — supply and consumption working groups under one coordination body, including local and external stakeholders.
- Mitsue is not alone** — Mishima's model is a direct precedent; cite it in funding applications and with village leadership to show this has been done successfully.

Source document: Ooba M., Nakamura S., Togawa T. (2020). "Promoting Local Revitalization to Solve Issues on Degraded Forests in Japan: A Case Study in Oku-Aizu, Fukushima." *Global Environmental Research*, 24, 191–198.